

Notes: Grossman and Helpman (RES, 1996)

Electoral Competition and Special Interest Politics

Contents

1	Big picture	3
2	Incremental contribution of the paper	3
3	Model setup	4
3.1	Voters	4
3.2	Parties and policy implementation	4
3.3	Special interests	5
3.4	Political equilibrium	5
3.5	Functional forms	5
4	Equilibrium with one lobby	6
4.1	Participation constraints	6
4.2	Influence-only equilibrium	6
4.3	Examples	6
4.4	Which party caters more?	7
4.5	Comparative statics	7
4.6	When does the electoral motive operate?	8
5	Equilibrium with several lobbies	8
5.1	Lobby problem and participation constraints	8
5.2	Local truthfulness	8
5.3	Weighted-welfare platform conditions	8
5.4	Who is represented?	9
5.5	Multiplicity and coordination failure	9
5.6	Electoral motive as a public good	9
5.7	Small lobbies	10
6	Identification and interpretation of the theory	10
6.1	What the model explains	10
6.2	What the model does not explain	10
6.3	Why the distinction between motives matters	10

6.4	Relation to <i>Protection for Sale</i>	11
6.5	Welfare implications	11
7	Extracted exhibits from the paper	11
7.1	Title, model primitives, and equilibrium definition	11
7.2	Single-lobby results	13
7.3	Several-lobby results	15
7.4	Summary and appendix	17
8	Short summary	19
9	Conclusion	19
9.1	Core conclusion	19
9.2	Economic intuition	19
9.3	Incremental contribution revisited	20
9.4	Implications	20
9.5	Limitations	20
9.6	Takeaway	20

1 Big picture

- **Research question.** How do special-interest campaign contributions affect electoral platforms when two parties compete for seats, and are contributions mainly used to influence the election outcome or to influence policy platforms?
- **Main idea.** Parties have fixed positions on some issues, but they are flexible on other “pliable” policies. Interest groups can offer policy-contingent contribution schedules to make parties choose pliable platforms that favor the groups.
- **Core trade-off.** A party can move its platform toward the average informed voter to win informed votes, or it can move toward special interests to receive contributions that finance campaign spending aimed at uninformed voters.
- **Electoral environment.** Informed voters understand the platforms and vote for the party they prefer. Uninformed voters do not evaluate pliable policies directly and can be influenced by relative campaign spending.
- **Contribution technology.** Contributions are modeled as schedules: a lobby promises more money if a party announces a more favorable platform. The schedules need not be legally binding, but politicians understand the quid pro quo.
- **Main characterization.** In equilibrium, each party behaves as if it maximizes a weighted sum of the welfare of organized interest-group members and the average welfare of informed voters.
- **Party asymmetry.** The party expected to win more legislative seats receives more attention from lobbies and chooses a platform that gives more weight to special interests. The underdog also caters to lobbies, but less strongly.
- **Influence versus electoral motive.** The influence motive is robust: lobbies always want to affect the platforms of parties that might govern. The electoral motive is narrower: extra giving to boost a party’s seat share is a public good among lobbies and can operate for at most one lobby per party.
- **Multiple-lobby implication.** With several lobbies, equilibria can be multiple because each lobby’s best response depends on where it expects other lobbies to direct contributions. This creates possible self-fulfilling expectations about which party wins.
- **Economic takeaway.** The paper gives microfoundations for the common reduced-form assumption that politicians maximize a weighted social welfare function. The weights arise endogenously from campaign finance and electoral competition.

2 Incremental contribution of the paper

- **Combines probabilistic voting and menu auctions.** The paper embeds Bernheim–Whinston menu-auction logic inside a two-party electoral model with informed and uninformed voters.
- **Endogenizes politician weights.** Earlier political-economy models often assume that governments value contributions and voter welfare. Grossman and Helpman derive such weights from party vote-maximization and lobby contribution schedules.

- **Separates two motives for giving.** The model distinguishes contributions that influence platforms from contributions that influence who wins. This is a key conceptual distinction.
- **Adds policy competition between parties.** Unlike a model with a single incumbent policymaker, both parties here strategically choose platforms before the election.
- **Explains platform divergence.** Special-interest contributions can make the expected winner and loser announce different platforms even though both parties care only about seats and not directly about the pliable policies.
- **Shows why likely winners cater more.** The more popular party is more valuable to interest groups because its platform is more likely to become policy, so lobbies invest more in influencing it.
- **Generalizes from one lobby to many lobbies.** The paper first solves the one-lobby case and then shows how competition among lobbies produces local truthfulness, weighted-welfare platforms, and possible coordination failures.
- **Provides a strict-majority robustness check.** The appendix shows that the main symmetric platform condition also emerges when parties maximize the probability of winning a majority and the legislature uses strict majority rule.

3 Model setup

3.1 Voters

There are two parties, A and B , a continuum of voters, and a set of pliable policies p . The electorate contains informed and uninformed voters.

- **Informed voters.** They know the parties' positions on pliable policies and fixed programs. Voter i evaluates $u_i(p^A)$ versus $u_i(p^B)$ and also has an idiosyncratic relative preference for the fixed attributes of party B .
- **Uninformed voters.** They do not evaluate pliable policies directly. Their vote share depends on relative campaign spending.
- **Uninformed share.** Let a denote the fraction of uninformed voters.

If F is the distribution of informed voters' relative preference for party B , the share of informed voters supporting party A depends on $F[u_i(p^A) - u_i(p^B)]$. If H maps the difference in campaign spending into the fraction of uninformed voters supporting party A , then party A 's seat share is

$$s = \frac{1-a}{n_I} \int_{i \in I} F[u_i(p^A) - u_i(p^B)] di + aH(C^A - C^B).$$

Interpretation. Policy positions affect informed voters. Contributions affect uninformed voters through campaign spending. This is the central political trade-off.

3.2 Parties and policy implementation

Each party maximizes its representation in the legislature. With proportional representation, maximizing seats is equivalent to maximizing expected plurality.

After the election, party A 's platform p^A is implemented with probability $\varphi(s)$, and party B 's platform p^B is implemented with probability $1 - \varphi(s)$, where $\varphi'(s) > 0$.

Interpretation. The model does not specify detailed legislative bargaining. It only assumes that a larger seat share increases a party's chance of having its platform enacted.

3.3 Special interests

Each organized interest group j has aggregate utility $W_j(p)$ from pliable policies. The group can offer a contribution schedule $C_j^K(p^K)$ to party $K \in \{A, B\}$.

The expected payoff of group j is

$$\varphi(s)W_j(p^A) + [1 - \varphi(s)]W_j(p^B) - C_j^A - C_j^B.$$

- **Influence motive.** A lobby offers policy-contingent contributions to push a party's platform toward the lobby's preferred policy.
- **Electoral motive.** A lobby may give extra contributions to improve the electoral prospects of the party whose platform it prefers.
- **Nonnegativity.** Contributions can be withheld but cannot be negative: lobbies can subsidize parties, not tax them.

Interpretation. The contribution schedule is a metaphor for an implicit understanding. It captures the idea that politicians know which policy positions will receive support from which groups.

3.4 Political equilibrium

The game has two stages.

1. Interest groups simultaneously announce contribution schedules to each party.
2. Parties choose platforms, collect contributions, campaign, and then the election and policy implementation occur.

An equilibrium consists of platforms and contribution schedules such that parties choose best-response platforms and no lobby can improve its payoff by changing its contribution schedules.

Interpretation. The model is a subgame-perfect equilibrium with lobbies as principals and parties as agents, but with two agents competing electorally.

3.5 Functional forms

To make the model tractable, the paper uses linear forms. Under these assumptions, party A 's seat share can be written as

$$s = \frac{1}{2} + b + (1 - a)f[W(p^A) - W(p^B)] + ah(C^A - C^B),$$

where

$$W(p) = \frac{1}{n_I} \int_{i \in I} u_i(p) di.$$

- b is the ex ante popularity advantage of party A .
- f measures how many informed voters are near the margin between the parties.
- h measures how effective campaign spending is at moving uninformed voters.
- a is the share of voters who are uninformed.

Interpretation. The linear specification makes each party's choice separable from the rival party's contribution offers. A party trades off lost informed-voter support against extra campaign money.

4 Equilibrium with one lobby

4.1 Participation constraints

First consider a single organized lobby. The party can always reject the lobby's offer and choose p^* , the platform that maximizes average informed-voter welfare:

$$\nabla W(p^*) = 0.$$

To induce party K to choose platform p^K , the lobby must compensate it for the informed-vote loss relative to p^* :

$$C^K \geq \frac{(1-a)f}{ah} [W(p^*) - W(p^K)], \quad K = A, B.$$

Interpretation. The party will accept a lobby-friendly platform only if the campaign money is large enough to offset the seat loss among informed voters.

4.2 Influence-only equilibrium

Suppose the single lobby gives each party exactly the minimum contribution needed to make the party accept the desired platform. Then the lobby chooses each platform to maximize

$$\varphi^K W_j(p) + \frac{(1-a)f}{ah} W(p),$$

where $\varphi^A = \varphi(1/2 + b)$ and $\varphi^B = 1 - \varphi(1/2 + b)$.

Thus,

$$p^K = \arg \max_p \left\{ \varphi^K W_j(p) + \frac{(1-a)f}{ah} W(p) \right\}, \quad K = A, B.$$

Interpretation. The party behaves as if it values two constituencies: the lobby and informed voters. The weight on informed voters is larger when informed votes are electorally costly to lose and smaller when campaign money is especially effective.

4.3 Examples

The paper uses examples to interpret the weighted-welfare formula.

- **Externality and industry tax.** A lobby for a polluting industry can move policy away from the Pigouvian tax and toward a lower tax or subsidy.
- **Minimum wage.** A union can induce minimum-wage platforms when labor demand is not too elastic.
- **Spatial model.** If voters have quadratic loss around bliss points and a lobby represents voters in an interval $[m, n]$, the platform lies between the median voter's bliss point and the median interest-group member's bliss point.

Interpretation. The model does not require the lobby to buy a policy completely. It buys a shift in the platform, with the size of the shift determined by the political cost of alienating informed voters.

4.4 Which party caters more?

Suppose party A is more popular ex ante, so $b > 0$. When both participation constraints bind:

$$W_j(p^A) > W_j(p^B), \quad W(p^A) < W(p^B), \quad C^A > C^B.$$

- The more popular party gives more weight to the lobby's welfare.
- The more popular party chooses a platform farther from the average informed voter's preferred policy.
- The lobby contributes more to the more popular party.

Economic message: Lobbies invest more in the party whose platform is more likely to become policy. This reverses the intuition that the underdog must cater more to raise funds.

4.5 Comparative statics

Define the key weight on informed-voter welfare:

$$\delta = \frac{(1-a)f}{ah}.$$

When δ is larger, equilibrium platforms put more weight on average informed-voter welfare and less on lobby welfare. When δ is smaller, platforms cater more to the lobby.

- Higher a means more uninformed voters, making campaign money more valuable.
- Higher h means campaign spending is more productive, again making money more valuable.
- Higher f means many informed voters are politically marginal, so alienating them is more costly.
- Lower a means more voters are informed and harder to sway with money.

Interpretation. Special-interest influence is strongest when many voters are uninformed and campaign money is effective. It is weakest when informed voters are numerous and electorally pivotal.

4.6 When does the electoral motive operate?

If party A is more popular, the single lobby may give more to A than is strictly required to influence its platform. The first dollar of extra support has expected marginal benefit

$$\varphi'(s)ah \left[W_j(p^A) - W_j(p^B) \right].$$

Therefore, if

$$\varphi'(s)ah \left[W_j(p^A) - W_j(p^B) \right] > 1,$$

then the lobby has an electoral motive to contribute extra to party A .

Interpretation. Extra electoral giving occurs only when the lobby strongly prefers one party's platform, campaign spending effectively shifts seats, and additional seats strongly raise the probability that the platform is implemented.

5 Equilibrium with several lobbies

5.1 Lobby problem and participation constraints

With many lobbies, each lobby takes the other lobbies' contribution schedules as given. Let $C_{-\ell}^K(p)$ denote the aggregate contribution schedule offered to party K by all lobbies other than lobby ℓ .

Lobby ℓ must make party K prefer the platform it wants to the best alternative the party could get from all other lobbies. The participation constraint has the form

$$C_{\ell}^K \geq \max_p \left\{ \frac{(1-a)f}{ah} W(p) + C_{-\ell}^K(p) \right\} - \left\{ \frac{(1-a)f}{ah} W(p_{\ell}^K) + C_{-\ell}^K(p_{\ell}^K) \right\}.$$

Interpretation. Each lobby has to compensate the party not only for lost informed votes, but also for whatever the party could obtain from rival lobbies at a different platform.

5.2 Local truthfulness

If all lobbies' participation constraints bind, each lobby's contribution schedule must be locally truthful near the equilibrium platform:

$$\begin{aligned} \varphi(s^0) \nabla W_{\ell}(p^A) &= \nabla C_{\ell}^A(p^A), \\ [1 - \varphi(s^0)] \nabla W_{\ell}(p^B) &= \nabla C_{\ell}^B(p^B). \end{aligned}$$

Interpretation. Around the equilibrium platform, the slope of a lobby's contribution schedule reflects the marginal policy benefit that the lobby receives from a small platform change.

5.3 Weighted-welfare platform conditions

Combining party optimality with local truthfulness yields the main platform characterization:

$$\varphi(s^0) \sum_j \nabla W_j(p^A) + \frac{(1-a)f}{ah} \nabla W(p^A) = 0,$$

$$[1 - \varphi(s^0)] \sum_j \nabla W_j(p^B) + \frac{(1-a)f}{ah} \nabla W(p^B) = 0.$$

- All organized lobbies enter symmetrically through $\sum_j W_j$.
- The expected winner, with larger $\varphi(s^0)$, gives more weight to organized interests.
- The average informed voter receives weight $\frac{(1-a)f}{ah}$.

Economic message: When contributions are influence-motivated, political platforms look like solutions to weighted social welfare maximization. The weights are not assumed; they are generated by campaign finance.

5.4 Who is represented?

The model clarifies what kind of representation campaign finance produces.

- Organized groups receive weight because they can offer contributions.
- Informed voters receive weight because they can punish bad platforms electorally.
- Uninformed voters do not directly discipline policy platforms, but they matter because their votes can be shifted by campaign spending.

If every voter belongs to exactly one organized group and informed voters are representative of the full electorate, then the equilibrium policy can coincide with aggregate-welfare maximization even if many voters are uninformed.

Interpretation. The bias is not only about the existence of lobbies. It arises when organized groups are not representative of the electorate.

5.5 Multiplicity and coordination failure

With one lobby, the more popular party wins in equilibrium. With many lobbies, the model can have multiple equilibria.

- Each lobby's best response depends on what it expects other lobbies to do.
- If all lobbies expect party B to receive more contributions, each may focus on influencing B .
- These expectations can become self-fulfilling, even if party A is more popular ex ante.
- In such an equilibrium, lobbies collectively pay a lot to overcome voters' initial resistance to the less popular party.

Economic message: Lobby competition can generate coordination failures. A party may win not because it is ex ante popular but because lobbies coordinate, perhaps unintentionally, on making it the policy-relevant party.

5.6 Electoral motive as a public good

Extra contributions that increase a party's seat share benefit all lobbies that prefer that party's platform. Thus, electoral giving is a public good among aligned lobbies.

The paper shows that, generically, at most one lobby per party can have a strict electoral motive. If two lobbies both wanted to give extra to the same party, they would both need to have exactly the same marginal benefit from the public good, which is nongeneric.

Interpretation. Platform influence can be supplied by many lobbies simultaneously. Electoral support beyond platform influence is different: it is nonexcludable among lobbies on the same side, so free riding is severe.

5.7 Small lobbies

If lobbies are sufficiently small, no lobby's stake in the difference between the two party platforms is large enough to justify extra electoral giving. Formally, starting from the constrained equilibrium, if

$$\varphi'(s)ah \left| W_j(p^A) - W_j(p^B) \right| < 1$$

for every lobby j , then the constrained equilibrium is also an unconstrained equilibrium.

Interpretation. When lobbying groups are small, the electoral motive disappears but the influence motive remains. Lobbies still pay to shape platforms; they just do not pay extra to alter seat shares.

6 Identification and interpretation of the theory

6.1 What the model explains

The paper explains why campaign contributions can induce parties to choose platforms that do not maximize the welfare of the average voter. It also explains why politicians' apparent objective can look like a weighted welfare function.

- The weight on informed voters comes from vote loss.
- The weight on organized interests comes from contributions.
- The expected winner gives more weight to organized interests because its platform is more likely to be implemented.

6.2 What the model does not explain

The paper takes several objects as given.

- It does not model how interest groups solve collective-action problems and become organized.
- It does not model the detailed legislative bargaining process after the election.
- It does not model enforcement of promises except by assuming that promises are honored.
- It does not provide empirical estimates of the weights or contribution schedules.

6.3 Why the distinction between motives matters

A large prior literature treats campaign contributions as efforts to help favored candidates win. Grossman and Helpman show that this is not the whole story.

- The influence motive operates whenever a party’s platform might become policy.
- The electoral motive operates only when extra spending changes policy probabilities enough to justify its cost.
- With many lobbies, electoral support is a public good and therefore subject to free riding.

Interpretation. Most contribution money in the model is best understood as platform-buying, not just vote-buying.

6.4 Relation to *Protection for Sale*

The paper connects electoral competition to the Grossman–Helpman menu-auction framework. In *Protection for Sale*, the government is modeled as maximizing a weighted sum of contributions and welfare. Here, that objective emerges from electoral competition between two parties.

Interpretation. This gives a microfoundation for using weighted-welfare objectives in political-economy models of trade policy, regulation, and redistribution.

6.5 Welfare implications

The model has two-sided welfare implications.

- If organized groups are unrepresentative, policy is biased toward them and away from the average voter.
- If voters are informed, the influence of contributions disappears because platforms that sacrifice public welfare are electorally costly.
- If every voter is represented by exactly one organized group, lobbying can aggregate social preferences rather than distort them.

Interpretation. The key normative issue is not merely that money exists in politics. It is whose interests money represents and whether voters can discipline policy deviations.

7 Extracted exhibits from the paper

7.1 Title, model primitives, and equilibrium definition

Read Exhibit 1:

- The title page states the paper’s question: two parties compete for legislative seats while interest groups use campaign contributions to affect platforms and election outcomes.
- The abstract states the central result: parties behave as if maximizing a weighted sum of informed-voter welfare and special-interest welfare.

Read Exhibit 2:

- Equation (1) defines party A ’s seat share.

- The first term is the informed-voter component; the second term is the uninformed-voter component affected by campaign spending.

Economic message: The entire model rests on one electoral trade-off: move policy toward informed voters or raise money to move uninformed voters.

Electoral Competition and Special Interest Politics

GENE M. GROSSMAN
Princeton University

and

ELHANAN HELPMAN
Tel Aviv University and CIAR

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We study the competition between two political parties for seats in a legislature. The parties have fixed positions on some issues, but vary their positions on others in order to attract votes and campaign contributions. In this context, we examine whether special interest groups are governed by an electoral motive or an influence in their campaign giving, and how their contributions affect the equilibrium platforms. We show that each party is induced to behave as if it were maximizing a weighted sum of the aggregate welfares of informed voters and members of special interest groups. The party that is expected to win a majority of seats caters more to the special interests.

Exhibit 1: Title page and abstract.

Read Exhibits 3 and 4:

- Exhibit 3 gives the first part of the political-equilibrium definition: platforms must be feasible, parties must best respond, and contribution schedules must be nonnegative.
- Exhibit 4 gives the no-profitable-deviation condition for lobbies and the functional-form setup.

Economic message: Equilibrium requires both party optimality and lobby optimality. Parties choose platforms after seeing contribution schedules, and lobbies choose schedules anticipating party responses.

3.4. Political equilibrium

We seek a subgame-perfect Nash equilibrium of a two-stage, noncooperative, political game. In the first stage, the various interest groups independently and simultaneously announce their contribution schedules, one to each of the two parties. In the second stage, the parties choose their policy platforms. After the platforms are set, the contributions are paid and the campaigns are waged. Then the election takes place and finally the legislature meets to implement one of the party's platforms. We assume that all expectations about subsequent events are accurate and that all promises are honoured.⁹

More formally, we propose the following definition:

Definition 1. An equilibrium consists of a pair of feasible policy vectors (p^{A^*}, p^{B^*}) and a set of contribution schedules $\{C_j^{A^*}(p^A), C_j^{B^*}(p^B)\}$, one for each lobby j , such that

- p^{A^*} maximizes s given p^{B^*} , $\{C_j^{A^*}(p^A)\}$ and $\{C_j^{B^*}(p^B)\}$;
- p^{B^*} maximizes $1-s$ given p^{A^*} , $\{C_j^{A^*}(p^A)\}$ and $\{C_j^{B^*}(p^B)\}$;
- each $C_j^K(\cdot)$ is continuous and differentiable when positive, with $C_j^K(p^K) \geq 0$ for all p^K ; and

Exhibit 3: Political-equilibrium definition, part 1.

inclined toward party B will vote instead for party A . We denote by $H(\cdot)$ the fraction of the uninformed voters that votes for party A , and assume that it depends on the difference in the parties' total campaign budgets.⁸

We assume that seats in the parliament are allocated by proportional representation. Then the fraction of the legislature controlled by party A matches the fraction of the total votes garnered by this party. Letting s denote this fraction, we have

$$s = \frac{1-\alpha}{n_I} \int_{i \in I} F[u'(p^A) - u'(p^B)] di + \alpha H(C^A - C^B), \quad (1)$$

where C^K is the total campaign spending undertaken by party K , $K = A, B$.

Exhibit 2: Vote share equation linking platforms, informed voters, and campaign spending.

- for each lobby j , there do not exist feasible contribution schedules $\tilde{C}_j^A(p^A)$ and $\tilde{C}_j^B(p^B)$, such that

$$\begin{aligned} & \varphi(\tilde{s}) W_j(\tilde{p}^A) + [1 - \varphi(\tilde{s})] W_j(\tilde{p}^B) - \tilde{C}_j^A(\tilde{p}^A) - \tilde{C}_j^B(\tilde{p}^B) \\ & > \varphi(s) W_j(p^{A^*}) + [1 - \varphi(s)] W_j(p^{B^*}) - C_j^{A^*}(p^{A^*}) - C_j^{B^*}(p^{B^*}) \end{aligned}$$

where $\tilde{p}^A$ maximizes and $\tilde{p}^B$ minimizes

$$\frac{1-\alpha}{n_I} \int_{i \in I} F[u'(p^A) - u'(p^B)] di + \alpha H[\sum_{k \neq j} C_k^{A^*}(p^A) + \tilde{C}_j^A(p^A) - \sum_{k \neq j} C_k^{B^*}(p^B) - \tilde{C}_j^B(p^B)]$$

and

$$\begin{aligned} \tilde{s} = & \frac{1-\alpha}{n_I} \int_{i \in I} F[u'(\tilde{p}^A) - u'(\tilde{p}^B)] di \\ & + \alpha H[\sum_{k \neq j} C_k^{A^*}(\tilde{p}^A) + \tilde{C}_j^A(\tilde{p}^A) - \sum_{k \neq j} C_k^{B^*}(\tilde{p}^B) - \tilde{C}_j^B(\tilde{p}^B)]. \end{aligned}$$

Here, conditions (a) and (b) express the Nash equilibrium among parties in the policy announcement phase, while condition (d) ensures that no lobby can beneficially deviate during the initial stage of the game.

Implicit in Definition 1 is the assumption that each party can observe the contribution schedules offered to the other. This assumption can be justified with the observation that the "schedules" here are intended as metaphors, rather than as literal descriptions of explicit contracts. In practice, offers of political support are conveyed as much by the public posture of a lobby as by any private communications it may have with the politicians. Accordingly, the *quid pro quo* for campaign support may come to be common knowledge among the parties.¹⁰

Exhibit 4: Political-equilibrium definition, part 2.

7.2 Single-lobby results

Read Exhibit 5:

- Equation (3) gives the single lobby's participation constraint for inducing a party to adopt a platform.
- Proposition 1 states the weighted-welfare characterization of each party's platform when contributions have only an influence motive.

Read Exhibit 6:

- The spatial example shows that the party platform lies between the average voter's ideal point and the interest group's ideal point.
- Proposition 2 states that the more popular party chooses the more interest-group-friendly platform and receives the larger contribution.

Economic message: A single lobby buys platform movement. The expected winner is more valuable to the lobby and therefore becomes more distorted toward the lobby's interest.

is the average welfare of informed voters when the vector of pliable policies is p . If the party were to refuse to be swayed by the lobby's offer, it would support the policies that best served the average informed voter. This policy vector, which we denote by p^* , satisfies $\nabla W(p^*) = 0$.¹¹ So the lobby must guarantee the party at least as many seats as it would capture by endorsing p^* . Evidently, it must offer to party A a contribution of at least $[(1-a)f/ah][W(p^*) - W(p^A)]$. Notice that the size of the minimum payment does not depend on the policy position anticipated from party B .

Similarly, the lobby must offer party B a contribution of at least $[(1-a)f/ah][W(p^*) - W(p^B)]$ in order to induce it to adopt the platform p^B . The lobby's problem, then, is to choose p^A and p^B to maximize (2), subject to the constraints that

$$C_j^K \geq \frac{(1-a)f}{ah} [W(p^*) - W(p^K)] \quad \text{for } K = A, B. \quad (3)$$

The constraints stipulate the minimum sizes of the campaign contributions as functions of the platforms that the group chooses to induce.

4.1. Contributions with only an influence motive

Let us suppose, for the moment, that the lobby decides to give the two parties exactly what is needed to induce them to support the platforms p^A and p^B , but nothing more. With these influence-motivated contributions, party A captures a fraction $\frac{1}{2} + b$ of the seats, while party B captures the remaining fraction $\frac{1}{2} - b$, no matter what the policy vectors p^A and p^B happen to be. The lobby's problem becomes one of choosing the two platforms to maximize its expected utility, given $\varphi^A = \varphi(b + \frac{1}{2})$ and $\varphi^B = 1 - \varphi(b + \frac{1}{2})$, and contributions that satisfy (3) with equality. We have, then, the following proposition that describes equilibrium policies when the lobby eschews the electoral motive for political giving:

Proposition 1. *If the contributions from a sole lobby satisfy both participation constraints in (3) with equality, the equilibrium policy platforms satisfy*

$$p^K = \arg \max_p \left[\varphi^K W(p) + \frac{(1-a)f}{ah} W(p) \right] \quad \text{for } K = A, B, \quad (4)$$

where $\varphi^A = \varphi(b + \frac{1}{2})$ and $\varphi^B = 1 - \varphi(b + \frac{1}{2})$.

Exhibit 5: Participation constraint and Proposition 1 for the single-lobby case.

Read Exhibit 7:

- Proposition 3 states how the equilibrium changes with the key political-environment parameter $\delta = (1-a)f/(ah)$.
- Platforms are more voter-oriented when δ is large and more lobby-oriented when δ is small.

Read Exhibit 8:

- Section 4.2 develops the electoral motive.

elasticity of labour demand is not too nign.

Another illustration of (4) draws on the political-science literature. Consider the familiar spatial voting model, where a scalar policy variable p is to be chosen from among points on the real line. Suppose that voter i has bliss point p_i and utility from policy p given by $u^i = -(p - p_i)^2$. Let voters' bliss points be uniformly distributed on $[0, 1]$ and let informed voters comprise a representative sample of the whole. The distribution of voters' ex ante preferences is, as before, independent of the distribution of benefits from the pliable policy. Finally, let there be a single, organized interest group, representing all voters with bliss points in the range $[m, n]$. Then Proposition 1 implies that, when the lobby contributes only to influence policy choices, the equilibrium platforms satisfy

$$p^K = \frac{1}{2} \left[\frac{\delta + \varphi^K(n-m)(n+m)}{\delta + \varphi^K(n-m)} \right] \quad \text{for } K = A, B,$$

where $\delta = (1-a)f/ah$. Notice that $p^K \rightarrow 1/2$ (the bliss point of the median and average voter) as $\delta \rightarrow \infty$, while $p^K \rightarrow (n+m)/2$ (the bliss point of the median and average interest-group member) as $\delta \rightarrow 0$. Also, $p^K > 1/2$ when $(n+m)/2 > 1/2$ and $p^K < 1/2$ when $(n+m)/2 < 1/2$; i.e. the platforms always lie between the bliss point of the median interest-group member and that of the median voter. Finally, the larger is φ^K , the farther is p^K from $1/2$ and the closer it is to $(n+m)/2$.

Returning to the more general interpretation of the model, we next establish a proposition that compares the campaign platforms of the two parties and the contributions received by each one, again for situations in which the lobby pursues only an influence motive for giving. Suppose, for concreteness, that party A is the more popular party; i.e. $b > 0$. Then we have:

Proposition 2. *If $b > 0$ and the contributions from a sole lobby satisfy the participation constraints in (3) with equality, then $W_A(p^A) > W_A(p^B)$, $W(p^A) < W(p^B)$, and $C^A > C^B$.*

Exhibit 6: Spatial-model illustration and Proposition 2.

- Equations (5) and (6) show the marginal conditions for giving extra to a party beyond the amount needed to influence its platform.
- Proposition 4 states that, when party A is more popular, party B 's participation constraint binds, and any slack constraint is for party A .

Economic message: Influence giving is basic and always relevant. Extra electoral giving is conditional and normally directed toward the party expected to be stronger.

Proposition 3. *If the contributions from a sole lobby satisfy the participation constraints in (3) with equality, then $W_j(p^K)$ is smaller and $W(p^K)$ is larger the larger is $\delta \equiv (1-\alpha)f/ah$.*

Both parties cater more to the special interest group the greater is the susceptibility of uninformed voters to campaign spending and the larger is the fraction of these individuals in the total voter population (i.e. the larger are h and α , respectively), because the lobby gives larger gifts to each party the more productive are its funds in buying votes. On the other hand, the platforms more fully reflect the interests of the average informed voter the smaller is the diversity of preferences over the ideological issue. When the range of the β 's is small (i.e. f is large), there are more voters at the margin of indifference between the two parties, and so an endorsement of a platform that neglects the public interest is more costly to the parties.¹⁷

Exhibit 7: Comparative statics of the influence-only equilibrium.

4.2. When is an electoral motive operative?

We have so far assumed that the interest group would wish to make the participation constraints bind for both political parties. In other words, the group offers each party only what it takes to win its support for the desired platform. Let us examine now when this will be the case.

The first-order conditions for the maximization of V_j with respect to C_j^A and C_j^B , subject to the participation constraints (3), imply

$$\varphi'(s)ah[W_j(p^A) - W_j(p^B)] = 1 - \lambda^A; \quad (5)$$

$$\varphi'(s)ah[W_j(p^B) - W_j(p^A)] = 1 - \lambda^B, \quad (6)$$

where λ^K is the Lagrange multiplier on the participation constraint applicable to party K . It is clear that λ^K must be positive for at least one K (i.e. the participation constraint must bind for at least one party), because the left-hand sides of (5) and (6) have opposite signs. In other words, it never pays for the lobby to give more than is necessary to both parties. Moreover, if the lobby does give more than is required to one of the parties, it must be the one that endorses its more-preferred platform; for example, (5) can be satisfied with $\lambda^A=0$ only if $W_j(p^A) > W_j(p^B)$. The party with a non-binding participation constraint receives more contributions in total than its rival (i.e. $C^A > C^B$ in the case just described) and adopts a platform of pliable policies that is less mindful of the welfare of the average voter.¹⁸

Indeed, only the party that is ex ante more popular is a candidate to receive extra campaign support. To see this, suppose that the other was receiving the larger contribution. Then the lobby could switch the labels on its offers (i.e. offering to party A what it had intended to offer to B , and *vice versa*) and at the same time reduce its (new) offer to the more popular party in such a way as to preserve the original probability distribution over

Exhibit 8: Marginal conditions for the electoral motive and Proposition 4.

Read Exhibit 9:

- Proposition 5 gives the sufficient condition for the lobby to make party A 's participation constraint slack.
- The condition compares the marginal policy benefit of extra campaign spending to the marginal dollar cost.

Read Exhibit 10:

- Section 5 begins the several-lobby analysis.
- Equation (7) gives the participation constraint faced by one lobby when all rival contribution schedules are taken as given.

Economic message: Moving from one lobby to many lobbies changes the outside option: a party can always turn to the other lobbies' contribution schedules.

the legislature. By doing so, the lobby could increase the probability that its preferred platform would be implemented. Suppose that party A is the more popular party, and suppose that the lobby contemplates giving this party a bit more than is needed to induce the party to choose the policy p^A . The expected marginal benefit from the first dollar of “extra” contribution is $\varphi'(s)ah[W_j(p^A) - W_j(p^B)]$, which reflects the group’s preference for A ’s platform and its marginal effect on the probability that this platform will be implemented. The marginal cost of the extra contribution is of course equal to one. Thus, we have

Proposition 5. *If $b > 0$ and $\varphi'(s)ah[W_j(p^A) - W_j(p^B)] > 1$, where p^K satisfies (4) for $K = A, B$, then the participation constraint in (3) will hold as a strict inequality for party A .*

Evidently, the lobby finds an electoral motive to contribute to party A (beyond the influence motive that always exists) only if the lobby would fare very differently under the alternative platforms, if campaign spending is relatively productive in buying votes (α and h are large), and if increased representation in the legislature greatly enhances a party’s prospects for implementing its programme ($\varphi'(s)$ is large). The size of the difference $W_j(p^A) - W_j(p^B)$ reflects two considerations. First, it reflects the extent of the informed voters’ predisposition to party A . The smaller the bias b , the closer together will be the two policy vectors in (4), and the less likely it will be that the lobby perceives a benefit from helping party A to win more seats. Second, it reflects the absolute size of the lobby’s stake in the policy issues.

Exhibit 9: Proposition 5, the condition for extra electoral giving.

7.3 Several-lobby results

Read Exhibit 11:

- Equations (10)–(12) give party first-order conditions and the local-truthfulness result.
- Lemma 1 states that equilibrium contribution schedules must be locally truthful around the equilibrium platforms.

Read Exhibit 12:

- Equations (13) and (14) give the key weighted-welfare platform conditions.
- Proposition 6 states that each party maximizes a weighted sum of all organized-interest welfare and informed-voter welfare.

Economic message: In the many-lobby case, equilibrium platforms look like weighted social-welfare maximizers, with all organized groups entering through aggregate organized-interest welfare.

5. EQUILIBRIUM WITH SEVERAL LOBBIES

Now we seek a subgame-perfect Nash equilibrium when several interest groups vie for influence over the parties’ platforms. Again we are free to treat the lobbies as if they were facing problems of direct control, but this time we must incorporate into their constraints the anticipated actions of the rival organizations. Consider for example the problem confronting the interest group l . This group behaves as if it were designing the platforms p_l^A and p_l^B , but it takes as given the contribution schedules offered by the other lobbies. It makes the choice to maximize its own welfare, subject to the constraint that the offers must be large enough to induce the parties to comply. Of course, in equilibrium, all of the lobbies’ “choices” must be mutually consistent; i.e. they all must designate the same platforms, which are the ones that the two parties announce.

More formally, let $C_l^K(p^K) \equiv \sum_{j \neq l} C_j^K(p^K)$ be the aggregate contribution schedule offered to party K by all lobbies other than l . Then lobby l chooses p_l^A, p_l^B, C_l^A , and C_l^B to maximize its expected welfare in (2), subject to the constraints that

$$C_l^K \geq \max_p \left[\frac{1-\alpha}{ah} fW(p) + C_l^K(p) \right] - \left[\frac{1-\alpha}{ah} fW(p_l^K) + C_l^K(p_l^K) \right] \quad \text{for } K = A, B. \quad (7)$$

Exhibit 10: Several-lobby participation constraint.

Now look at the problem from the politicians' perspective. When confronted with the full set of contribution schedules, the political parties set their platforms to maximize their shares of the vote. The first-order conditions for these maximizations imply

$$(1 - \alpha)fW(p^K) + ah\nabla C^K(p^K) = 0 \quad \text{for } K = A, B. \quad (10)$$

where $C^K(p^K) \equiv \sum_j C_j^K(p^K)$ is the aggregate contribution schedule confronting party K . In words, the parties balance the marginal loss of informed votes caused by their deviating from p^* against the additional uninformed votes they capture by spending the extra donations from the interest groups.

In the equilibrium, the platforms anticipated by each lobby must be the same as those actually announced by the parties; i.e. $p_l^K = p^K$ for all l and for $K = A, B$. Therefore, we can combine (8), (9), and (10) to derive

$$\varphi(\bar{s}_i)\nabla W_j(p^A) = \nabla C_i^A(p^A); \quad (11)$$

$$[1 - \varphi(\bar{s}_i)]\nabla W_j(p^B) = \nabla C_i^B(p^B). \quad (12)$$

These equations reveal an important property of the equilibrium contribution schedules; namely, these schedules must be "locally truthful" in the neighbourhood of the equilibrium platforms. In other words, when a lobby treats the make-up of the legislature as a given, it designs its bids so that the shape of each schedule accurately reflects the expected benefit it would derive from a small change in the party's platform around the equilibrium.¹⁹ Lemma 1 states this requirement more precisely.

Lemma 1. *If all lobbies set contribution schedules that are everywhere continuous and differentiable where positive, and if all lobbies satisfy the participation constraints (7) with equality, then the contribution schedules $C_i^K(\cdot)$ for lobby i must be locally truthful (i.e. satisfy (11) and (12)) when evaluated at the equilibrium policies p^A and p^B .*

Exhibit 11: Local truthfulness in the several-lobby equilibrium.

Read Exhibit 13:

- The page explains why equilibria need not be unique with many lobbies.
- Expectations about which party other lobbies will support can become self-fulfilling.

Read Exhibit 14:

- Proposition 7 states that at most one lobby per party can have a strict electoral motive.
- Proposition 8 states that, when lobbies are small enough, the constrained influence-only equilibrium is also an unconstrained equilibrium.

Economic message: Electoral giving is a public good among lobbies. Influence giving survives fragmentation, but electoral giving disappears when group stakes are small.

participation constraints bind. These are

$$\varphi(s^a) \sum_j \nabla W_j(p^{Aa}) + \frac{(1-\alpha)}{ah} \nabla W(p^{Aa}) = 0; \quad (13)$$

$$[1 - \varphi(s^a)] \sum_j \nabla W_j(p^{Ba}) + \frac{(1-\alpha)}{ah} \nabla W(p^{Ba}) = 0. \quad (14)$$

These conditions imply:

Proposition 6. *When all lobbies satisfy the participation constraints (7) with equality, each party's equilibrium platform satisfies the necessary conditions for maximizing a weighted sum of the aggregate welfare of all interest group members and the average welfare of informed voters.*

Exhibit 12: Weighted-welfare conditions and Proposition 6.

expectations are based on the belief that the other lobbies will give more generously to party B than to party A . Then each lobby will be well justified in concentrating its efforts on influencing B 's platform and, in the end, their expectations may be validated. Whereas an only lobby can always gain by ensuring that the more popular party wins the majority of the seats, a lobby that is one among many cannot necessarily do so. To reverse the fortunes of the two parties in a way that conserves resources, it may need the tacit cooperation of other lobbies.

The potential for multiplicity of equilibria can also be understood in another way. Recall that $s = \frac{1}{2} + b + (1 - a)[W(p^A_l) - W(p^B_l)] + ah[C^A_l(p^A_l) - C^B_l(p^B_l)]$ when lobby l makes the minimal contributions needed to induce the platforms p^A_l and p^B_l . Of course, if all lobbies give minimally, then this condition must hold for each one. The policies p^A_l and p^B_l are the ones that the parties would choose if they ignored the offer from lobby l . Notice that these policies depend on the shapes of the lobbies' contribution schedules away from the equilibrium. And while the equilibrium requirements place some restrictions on the global shapes of these schedules (for example,

$$(1 - a)[W(p^A_l) - W(p^B_l)] + ah[C^A_l(p^A_l) - C^B_l(p^B_l)]$$

must be the same for all l) the requirements are not enough to pin down the equilibrium uniquely.

Still, some of the Nash equilibria may be more compelling than others. For example, if $b = 0$, the symmetric equilibrium—in which the lobbies treat the parties similarly and the election yields an evenly split legislature—may be focal. If $b > 0$, the lobbies would have no particular reason to expect the bulk of the contributions to go to party B , and in some cases they will have good reasons to expect the opposite. One such case arises when all lobbies are offering positive contributions to both parties, not only in the neighbourhood of the equilibrium, but also around the various points that the parties would choose if one of the lobby groups were to be ignored. In this situation, the equilibrium with $s < \frac{1}{2}$ is Pareto dominated for the entire set of interest groups by another with $s > \frac{1}{2}$. The alternative equilibrium can be constructed as follows. Let each lobby offer to party B in the new equilibrium exactly what it offered to party A in the old. Let each construct its new offer to party A by subtracting a fixed amount from the (positive) offers to party B in the old equilibrium, plus an additional amount that increases with the distance from the initial p^B . Finally, let the fixed reductions be chosen so that party A captures as many seats in the new equilibrium as party B did in the old, and let the additional reductions be chosen so that no party will decline the offer from some lobby in setting its platform.²¹ The newly constructed contribution schedules are best responses to one another, and they induce each party to choose the platform in the new equilibrium that the other chose in the old. Finally, since each party wins as many seats in the new equilibrium as the other did in the old, the new equilibrium has exactly the same distribution of policy outcomes as the old. It follows that all interest groups gain.

Exhibit 13: Multiplicity and coordination failure among lobbies.

7.4 Summary and appendix

Read Exhibits 15 and 16:

- The paper's summary restates the model's core logic: contributions may influence policies or election outcomes, but platform-contingent contributions make parties trade informed-voter support against money.
- The summary emphasizes that the expected winner caters more to special interests and that multiple lobbies can generate self-fulfilling electoral outcomes.

Economic message: The model is not merely about money changing who wins. It is about money changing what both parties promise before the election.

Proposition 7. For each political party $K = A, B$, there is at most one lobby (generally) that satisfies the participation constraint (7) as a strict inequality.

Suppose to the contrary that lobbies 1 and 2 each gave extra contributions to party A in order to bolster its election returns. Then, in equilibrium, the marginal benefit perceived by lobby j for contributing to this party would be $\phi'(s)ah[W_j(p^A) - W_j(p^B)]$, for $j = 1, 2$, while of course the marginal cost for each would be 1. Both lobbies could satisfy their first-order conditions for optimal giving only if $W_1(p^A) - W_1(p^B)$ happened to equal $W_2(p^A) - W_2(p^B)$; that is, if the two lobbies held exactly the same absolute preference for party A 's pliable policies over those of party B . Electoral support beyond what is justified by the influence motive constitutes a public good for all interest groups preferring a given party's platform. As in many other contexts, it is only the player that has the most to gain that might contribute voluntarily toward the purchase of a public good.

The electoral motive might be operative for a lobby if it stands to gain greatly by having one party's platform implemented rather than the other's. But if all interest groups are "small", in a sense made precise in the next proposition, then none will see a marginal benefit of "excess" contributions equal to their marginal cost. In this case, all campaign giving is governed by an influence motive alone.

Proposition 8. Consider a constrained equilibrium, in which each lobby must satisfy (7) as an equality for each party. Let (p^A, p^B, s) be the platforms and seat count in this constrained equilibrium. Then if $\phi'(s)ah|W_j(p^A) - W_j(p^B)| < 1$ for all j , the constrained equilibrium is also an unconstrained equilibrium in which none of the lobbies exercises an electoral motive for campaign giving.

Exhibit 14: Electoral motive as a public good and the small-lobby condition.

6. SUMMARY

Interest groups make campaign contributions either to influence election outcomes or to influence policies. We have developed a model of campaign finance in which special interests may have either or both of these motives for giving. In the model, the special interests tailor schedules that link campaign gifts to policy endorsements. The schedules are proposed to two political parties, who are vying for seats in a legislature. The parties have fixed stances on some issues but have yet to announce their positions on other “pliable” policies, about which they have no inherent preferences. Confronted with offers from the various interests, the parties announce their campaign platforms. They trade off the extra campaign contributions that may be forthcoming if they cater to the groups’ demands against the votes that this may cost them among the well-informed segment of the electorate.

The paper analyses the equilibrium of a two-stage game. In the first stage, the interest groups strategically design their contribution schedules to maximize their expected welfare net of political pay-outs. In the second stage, the parties choose platforms to maximize their representation in the legislature. In the voting booth, an informed voter casts her ballot for the party whose candidates and platform she prefers. In contrast, an uninformed (or, perhaps, impressionable) voter may respond to campaign rhetoric. The difference in policies and spending levels determines the election outcome, which in turn decides the probability that each party’s platform will be implemented.

Our model predicts divergence in policy platforms. The party that is expected to win the majority of the seats garners greater attention from the special interests. As a result, it is induced to adopt a platform that gives more weight to their concerns. The underdog party also caters somewhat to the special interests, but its equilibrium platform is closer to the bliss point of the average informed voter. This finding may have relevance for the debate over term limits. With the advantage that incumbency brings in terms of name recognition and reputation, incumbents are overwhelming favourites in many elections. Our analysis suggests that these candidates may convert their popularity into campaign war chests, with detrimental effects on the welfare of the average voter. Term limits would periodically restore a more even election, and thus might diminish the influence of special interest groups.

When interest groups offer the parties contributions that are platform contingent, they induce in them a preference ordering over the pliable policies. In our model, these preferences take a particularly simple form. Each party is induced to behave as if it were maximizing a weighted sum of the welfare levels of two groups in the polity. The aggregate interest of *informed voters* receives a weight that increases with the share of such voters in the voting population and decreases with the diversity of their opinions about the relative desirability of the parties’ ideological positions. The aggregate interest of *members of organized interest groups* receives a weight that increases with the susceptibility of

uninformed voters to campaign spending. The weight implicitly given to the interest group members also varies with the number of seats a party is expected to win, which accounts for the above-mentioned difference in the parties’ platforms. It is interesting to note that many political-economy models ascribe weighted social welfare functions to politicians making policy choices. Our model provides some underpinnings for this common specification.

If interest groups can communicate platform-contingent contribution offers, they will always perceive an influence motive for giving to each party whose platform might eventually become policy. But the groups may or may not perceive an incentive to give to their favourite party beyond what is needed to exert the desired degree of influence. We have shown that the electoral motive for giving—which features prominently in many previous models of campaign contributions—can operate for at most one interest group favouring each political party. This is because gifts that bolster a party’s election prospects benefit all interest groups that prefer the party’s platform. Only the interest group with the greatest relative preference for the party is a candidate to contribute toward this public good. We find, moreover, that campaign gifts with an electoral motive may be the exception, rather than the rule. No group will give beyond what is needed to compensate the party for altering its policy position unless the group has an aggregate stake in policy that is relatively large compared to the stake of the electorate as a whole.

Finally, what of the election outcome? Our model predicts a unique equilibrium when only a single interest group is organized to offer contributions to the parties. In this equilibrium, the party that is more popular *ex ante* captures a majority of the seats in the elected legislature. The interest group contributes more to the more popular party, and at least compensates this party for choosing the less-popular, pliable policies. Thus, the contributions ensure that the more popular party captures at least as many seats as it would in the absence of any influence-seeking.

However, once there are several interest groups that actively compete for influence, our model allows scope for self-fulfilling prophecies. Each group’s giving depends upon its expectations about the others. If a lobby expects the others to compete vigorously for a certain party’s favour, then it too will have an incentive to focus its efforts on that party. Then, if all happen to concentrate on the party whose candidates and fixed programme have less popular appeal, the result may be a legislature in which this party captures a majority. In the aggregate, the lobbies may pay handsomely to overcome voters’ resistance. Still, each may be stuck with this outcome unless they reach a cooperative solution through the use of side payments.

Exhibit 16: Summary page, part 2.

Exhibit 15: Summary page, part 1.

Read Exhibit 17:

- The appendix considers strict majority rule and parties that maximize the probability of winning a majority.
- The symmetric equilibrium yields the same platform condition as the main text when parties are equally popular.

Economic message: The weighted-welfare platform characterization is not an artifact of proportional representation and probabilistic implementation. It also appears in the strict-majority robustness case.

Let p_i^A be the platform designated by lobby i . The first-order condition for maximizing the lobbies’ expected utility with respect to the choice of p_i^A implies

$$\pi[p_i^A, p_i^B, C^A(p_i^A) + C^B(p_i^B) - C^A(p_i^B) - C^B(p_i^A)] \geq \max_p \pi[p, p_i^B, C^A(p) - C^B(p_i^B) - C^B(p)]$$

and a similar condition for party B . We focus on symmetric equilibria, wherein $C^A(\cdot) = C^B(\cdot)$, lobby i chooses the same platform and contribution for each party, and the participation constraints bind.

Let p_i^A be the platform designated by lobby i . The first-order condition for maximizing the lobbies’ expected utility with respect to the choice of p_i^A implies

$$\frac{1}{2} \nabla W_i(p_i^A) + \frac{(1-a)f}{ah} \nabla W(p_i^A) + \nabla C_i^A(p_i^A) = 0, \quad (16)$$

where we have made use of the fact that $\pi(p_i^A, p_i^A, 0) = \frac{1}{2}$ at the symmetric equilibrium.²⁴

Party A chooses its equilibrium platform, p^A , to maximize $\pi[p^A, p^{B*}, C^A(p^A) - C^{B*}(p^{B*})]$. Again making use of the symmetry conditions, $p^{B*} = p^{A*} = p^*$ and $C^{A*}(\cdot) = C^{B*}(\cdot) = C^*(\cdot)$, this implies

$$(1-a)/\nabla W(p^*) + ah \nabla C^0(p^*) = 0. \quad (17)$$

Consistency requires $p_i^A = p^*$ for all i . Thus, (16) and (17) imply

$$\frac{1}{2} \nabla W_i(p^*) = \nabla C_i^A(p^*), \quad (18)$$

which is another “local truthfulness” result. Finally, combining (17) and (18) we find

$$\frac{1}{2} \sum_i \nabla W_i(p^*) + \frac{(1-a)f}{ah} \nabla W(p^*) = 0. \quad (19)$$

The platform p^* that satisfies (19) is the same as the platform p^{A*} that satisfies (13) and the platform p^{B*} that satisfies (14), when $s^0 = \frac{1}{2}$. We see that, with equal popularity, the platform that emerges in a symmetric equilibrium when the legislature operates by strict majority rule and parties maximize their chances of winning a majority is the same as the platform that emerges in symmetric equilibrium when parties maximize their representation in the legislature and a minority platform has some chance of being implemented.²⁵

8 Short summary

- The paper studies two parties competing for seats in the presence of organized interest groups.
- Parties have fixed positions on some issues and flexible positions on pliable policies.
- Lobbies offer policy-contingent contribution schedules to affect party platforms.
- Informed voters react to the platforms; uninformed voters react to campaign spending.
- A party accepts a lobby-friendly platform only if the contribution compensates it for lost informed votes.
- With one lobby and influence-only giving, each party chooses a platform that maximizes a weighted sum of lobby welfare and informed-voter welfare.
- The more popular party gives more weight to the lobby, chooses the more lobby-friendly platform, and receives more contributions.
- The electoral motive for extra giving operates only when the lobby strongly prefers one party's platform and campaign spending is effective.
- With many lobbies, contribution schedules are locally truthful near the equilibrium.
- Each party behaves as if it maximizes a weighted sum of all organized-interest welfare and informed-voter welfare.
- Equilibria may be multiple because each lobby's giving depends on expectations about rival lobbies' giving.
- Extra electoral giving is a public good among lobbies and can be provided by at most one lobby per party.
- When lobbies are small, the electoral motive disappears but the influence motive remains.
- The model provides a foundation for weighted-welfare political objective functions used in political-economy models.

9 Conclusion

9.1 Core conclusion

Grossman and Helpman show that campaign contributions can endogenously make political parties behave as weighted-welfare maximizers. The weights reflect two political forces: informed voters discipline policy platforms, while uninformed voters make campaign money valuable.

9.2 Economic intuition

A party that moves toward a lobby loses informed voters but receives money. That money buys campaign influence over uninformed voters. The equilibrium platform balances these margins.

Because a likely winner’s platform is more likely to be implemented, lobbies put more value on influencing that party. The likely winner therefore caters more to special interests.

9.3 Incremental contribution revisited

The paper gives electoral foundations for the Grossman–Helpman contribution approach. It explains why parties may act as if they maximize a weighted sum of public welfare and organized-interest welfare, instead of simply assuming such an objective.

9.4 Implications

The model implies that voter information is central. When voters are informed, bad platforms are costly and lobby influence weakens. When many voters are uninformed and campaign spending is effective, money becomes more powerful. The model also implies that incumbency or ex ante popularity can increase special-interest influence because the expected winner is the more attractive target for lobbies.

9.5 Limitations

The model is theoretical and abstracts from detailed legislative bargaining, explicit enforcement of political promises, and the formation of interest groups. It does not estimate real contribution schedules. Its empirical relevance rests on whether actual lobbies can credibly communicate policy-contingent support and whether campaign spending substantially affects impressionable voters.

9.6 Takeaway

The enduring takeaway is that special-interest politics is not only about helping favored candidates win. It is also about shaping what candidates promise. Platform-contingent campaign finance turns electoral competition into a menu-auction environment, producing policies that weigh organized interests against informed voters.